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The 2005 Jackson Hole Conference was to be the then Federal Reserve Board Chairman Alan Greenspan's last, and the theme, therefore, was the legacy of the Greenspan Era. I was the Chief Economist of the International Monetary Fund at that time, on leave from the University of Chicago. I was asked to present a paper to the world's central banking fraternity on how the financial sector had evolved during Greenspan's term at the helm. I started to write a paper extolling the developments in finance, but as I analysed the data, I became worried about what was going on. I shifted tack and wrote the paper on the risks posed by the financial system.

I remember telling my wife as I left home for the conference that this speech, so far out of line with what I knew would be congratulatory speeches at the conference, would either be seen as singularly prescient, or unwarranted scaremongering. The global financial crisis in 2007-08 ensured opinion largely switched from the latter to the former. The following piece is based on that paper, and was published in the IMF's monthly *Straight Talk* in September 2005.

Risky Business: Skewed Incentives for Investment Managers May Be Adding to Global Financial Risk

In the past thirty years, financial systems around the world have undergone revolutionary change. People can borrow greater amounts at cheaper rates, invest in a multitude of instruments catering to every possible profile of risk and return, and share risks with strangers across the globe. Financial markets have expanded and deepened, and the typical transaction involves more players and is carried out at greater arm's length.

At least three forces are behind these changes. Technical change has reduced the cost of communication and computation, as well as